NeurAegis

Executive Summary

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Overview

NeurAegis, Inc. is a late preclinical stage neuropharmaceutical company pioneering the development of breakthrough treatments for neurological disorders including traumatic brain injury (TBI)/concussion and epilepsy. Our initial focus is developing first-in-class, novel protease inhibitors for TBI where there are currently no FDA approved treatments.

Large Addressable Market with Urgent Unmet Medical Need

NeurAegis's first indication is traumatic brain injury (TBI)/concussion. Traumatic Brain Injury (TBI) is a significant public health problem in the United States. In the US, over 3.8 million sports- and recreation-related concussions are reported per year (www.brainline.org), and, according to the CDC, it is likely that many more TBI cases are never reported. In recent years, repeated mild traumatic brain injury has received a lot of attention, after it was found that many military veterans and athletes subjected to repeated concussions exhibit a chronic degenerative disease referred to as Chronic Traumatic Encephalopathy (CTE).

Traumatic brain injury (TBI) is a major cause of death and disability in the United States. Consequences of TBI can last a few days or for the remaining of the lives of the persons who survive, and it can affect cognitive, emotional and motor functions. There is urgent unmet medical need for treatments for TBI and concussions. Currently there are no treatments targeting the major feature of TBI, which is neuronal damage and neuronal death that take place in the hours/days following the injury.

NeurAegis's Value Proposition

NeurAegis's therapeutics have the potential to transform treatment of TBI and other neurological disorders and to achieve blockbuster status ($1+ billion in annual revenues). NeurAegis has identified a molecular mechanism that is activated in the hours following TBI, lasts for several days and is directly related to neuronal degeneration. This mechanism is associated with the prolonged activation of the calcium-dependent protease, calpain-2. An inhibitor of this mechanism (referred to as C2I) provides significant protection against neurodegeneration and improves recovery of motor and cognitive functions in a mouse model of TBI, and significantly decreases the levels of a blood biomarker correlated with the long-term negative consequences of TBI. NeurAegis has selected a lead clinical candidate, NA184, to advance to clinical trials.

Investment Sought

Raising $10M Series A equity round at $15M pre-money valuation

Milestones/Use of Proceeds

- Complete Phase 1 clinical studies for lead candidate NA184 in concussion
- Select clinical candidate for status epilepticus (most severe form of epilepsy)
- Initiate IND-enabling program for status epilepticus
- Enter in discussions with potential corporate partners, with the goal of establishing partnership(s) for late stage clinical development

Leadership Team

NeurAegis's team has over 75 years of collective biotech experience. We have helped create over $200 million in value in associated companies. NeurAegis's team has over 400 publications, US issued patents and pending patents worldwide.

Stella Sung, PhD
President & CEO
C-level (CEO/CBO) life Science/biotech executive with 25 years of experience in both operating and venture capital roles. Successful track record in negotiating, establishing, and executing transactions, agreements, and partnerships. Extensive experience in raising capital, building companies; served on or chaired Boards of >10 life science companies. Earned her Ph.D. (Chemistry) from Harvard University (National Science Foundation Pre-Doctoral Fellow).

NeurAegis's proposed treatment will be a novel acute iv injection followed by a short duration treatment to reduce the pathological consequences of the trauma, including sensory and motor deficits as well as cognitive deficits. The treatment should promote recovery and improve long-term outcomes of subjects experiencing severe, moderate or even mild concussion.

The NeurAegis team is experienced in drug discovery and development and is increasing the likelihood of clinical success in several important ways. NeurAegis's compounds have well-defined mechanisms of action and are supported by strong clinical hypotheses. In addition, blood-based biomarkers have been identified to help select the optimal patient populations.

Successful development of first in class, novel calpain-2 protease inhibitors for the treatment of multiple neurological disorders with no FDA approved alternatives will result in several major value inflection points. The first of these value inflection points will occur upon initiating Phase 1 studies; the next one will be clinical proof of concept (Phase 2b); and another value inflection point be upon entering the clinic for a second neurological indication.

Exit Comparables

The following table lists the market capitalization at the time of IPO of several companies involved in developing treatments for neurological disorders. These companies have all gone public in the last few years, and their average market capitalization at the time of IPO is $570 million.

Company Name	Stock Ticker	IPO Date	Market Capital at IPO (USD)
Amylyx Pharmaceuticals	NASDAQ:AMLX	Jan 7, 2022	1,069,196,253
Longboard Pharmaceutical	NASDAQ:LBPH	Mar 12,2021	270,671,840
Foghorn Therapeutics	NASDAQ:FHTX	Oct 23, 2020	571,116,832
Ovid Therapeutics	NASDAQ:OVID	May 05, 2017	369,029,055

Michel Baudry, PhD
Founder and Chief Scientific Officer
World-renowned neuroscientist, life science entrepreneur and professor. Co-Founder of 5 biotechnology companies across two countries. Identified calpain-2's role in neurodegeneration and discovered novel calpain-2 protease inhibitors. Earned his Ph.D. (Biochemistry) from University Paris VII (Paris, France) and Engineering Degree in Chemistry from Ecole Polytechnique, Paris, France

Michael G. Palfreyman, PhD, DSc
Drug Development Advisor
Scientific leader in pharmaceutical industry for >40 years. Internationally recognized leader in neuropharmacology and drug development and clinical Proof of Concept. Successfully led multiple IND filings and clinical programs. Holds a D.Sc. and a Ph.D. degree in Pharmacology, both from the University of Nottingham, UK.

Upside Potential

The proposed NeurAegis Series A investment opportunity has significant upside potential. It represents the first institutional round of financing for a company developing novel, first in class therapeutics for multiple neurological disorders. NeurAegis's therapeutics have the potential to achieve blockbuster ($1+B) status because they address conditions that have no current FDA approved medication and that carry long term brain effects and sizable associated medical expenses. The company is run by an experienced, top tier management team. NeurAegis has been extremely capital efficient to date, with much of the early and proprietary science being funded by a $4.5 million DOD grant. NeurAegis was also awarded a $700K NIH grant for its epilepsy program. Recent comparables suggest the potential for a $250+M NeurAegis valuation upon exit in the next 3-5 years.